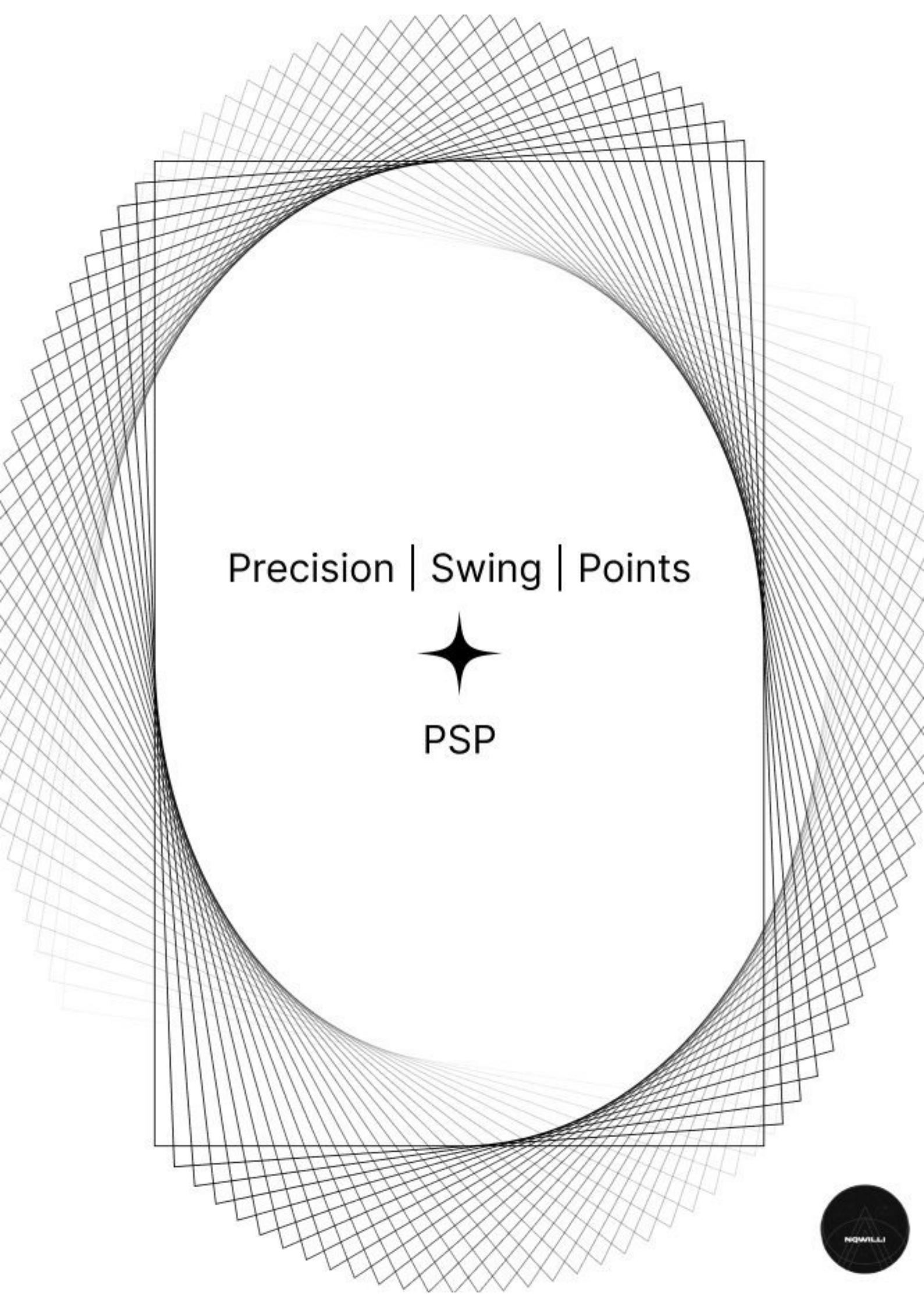




Precision | Swing | Points



PSP



What is a Precision Swing Point?

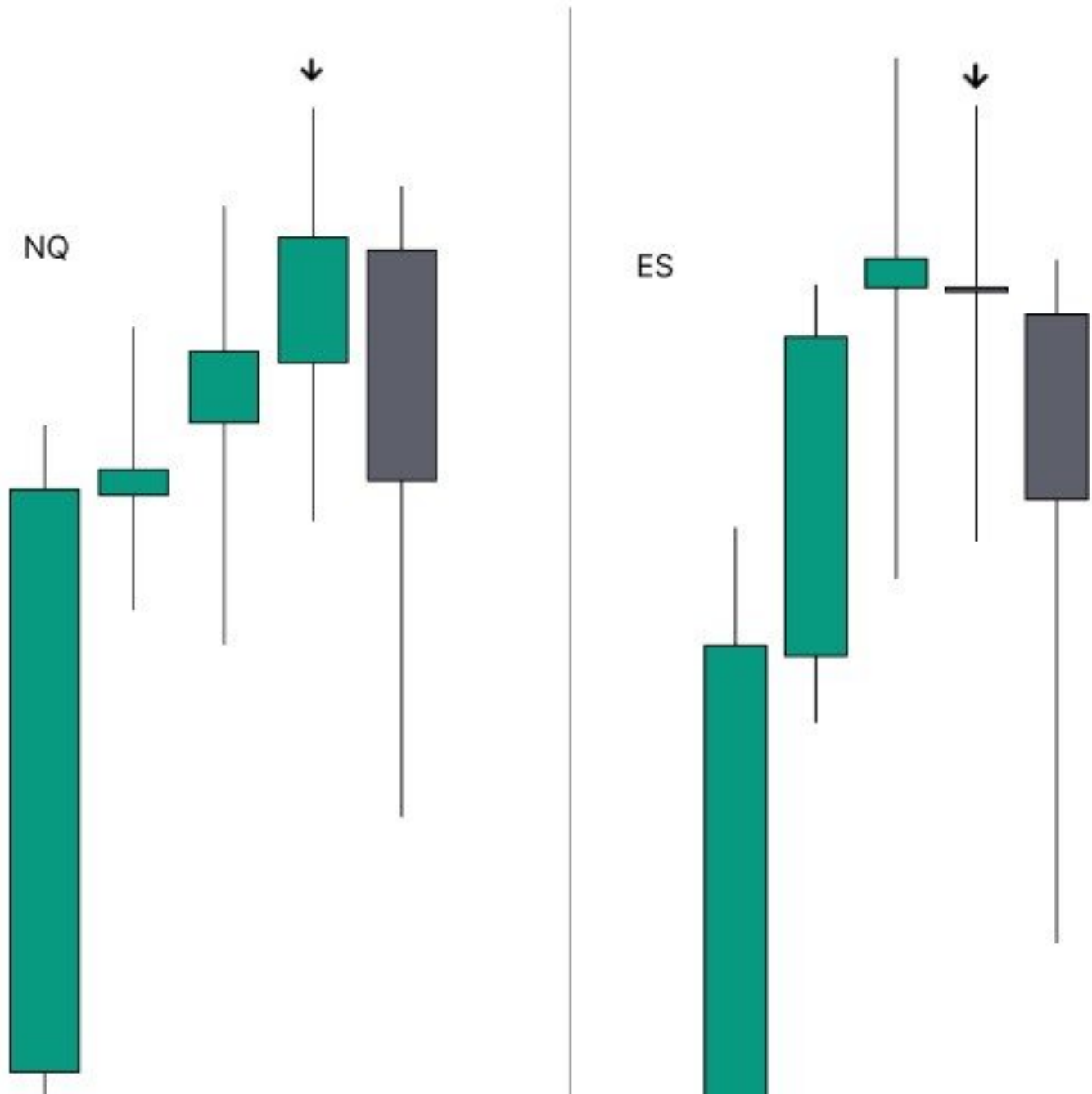
A Precision Swing Point is a swing point which closed in different delivery states trough out closely correlated assets such as:

NQ - ES - YM

DXY - EUR/USD - GBP/USD

ZB - ZN - ZF

Gold - Silver - DXY



Why do they matter?

PSP's indicate the Terminus of a Price leg and therefore a potential Reversal or Retracement in Price, they work best in combination with Sequential SMT and have the power of confirming it.

PSP's can confirm SSMT

SSMT can confirm PSP's

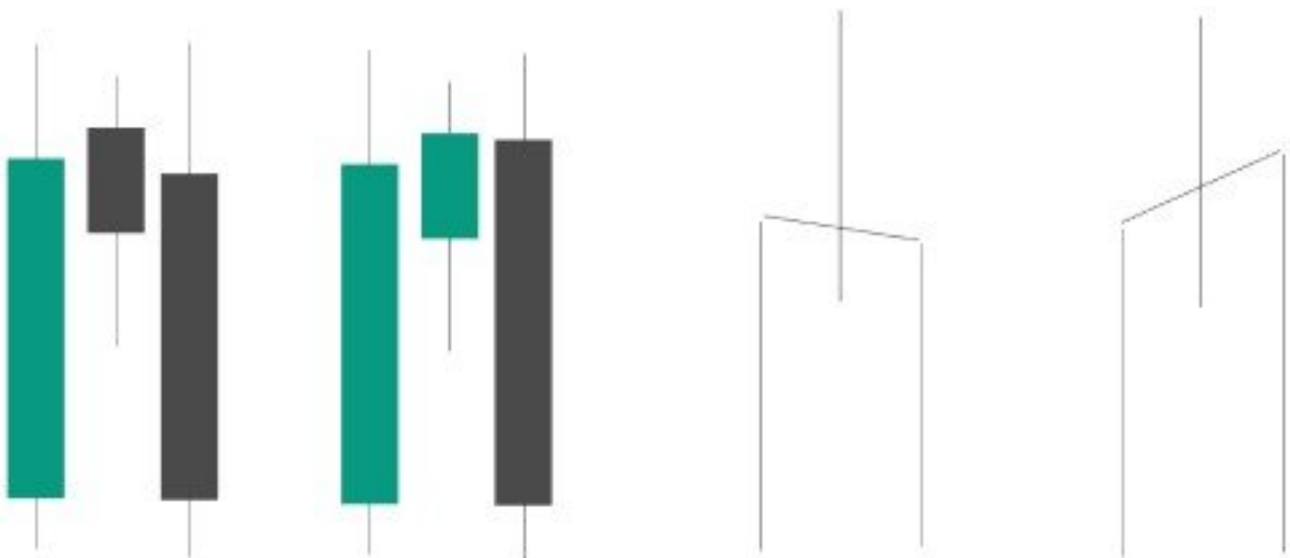
As we all know a Swing point is a 3 Candle Pattern, the same obviously applies to PSP's as well.

The PSP will always be Candle 2 of the Swing point EVEN TOUGH it is not the swing point itself, this might sound confusing but it really is not.

Something that really is important is that we see a crack in correlation between Candle 1 closing Price and Candle 3 Opening Price, this way you have 2 Cracks in correlation within the 3 Candle Sequence of the PSP which makes it High Probability.

Some people call it TPD (Terminus Price Divergence) which was originally founded by @JacobSpeculates on X.

But to keep it simple with all the different names we will just call it PSP.



How can we use PSP's?^{1/2}

As i already said, a PSP is a 3 Candle Sequence that indicates the Terminus of a Price Swing.

In combination with SSMT we can get very precise as i already said, a PSP is a 3 Candle Sequence that indicates the Terminus of a Price Swing.

PSP's on different Timeframes can confirm SSMT of different Cycles, for example a Daily Cycle SSMT can be confirmed with a 15min PSP but here are the other Cycles and Timeframes:

Yearly Cycle - Weekly PSP

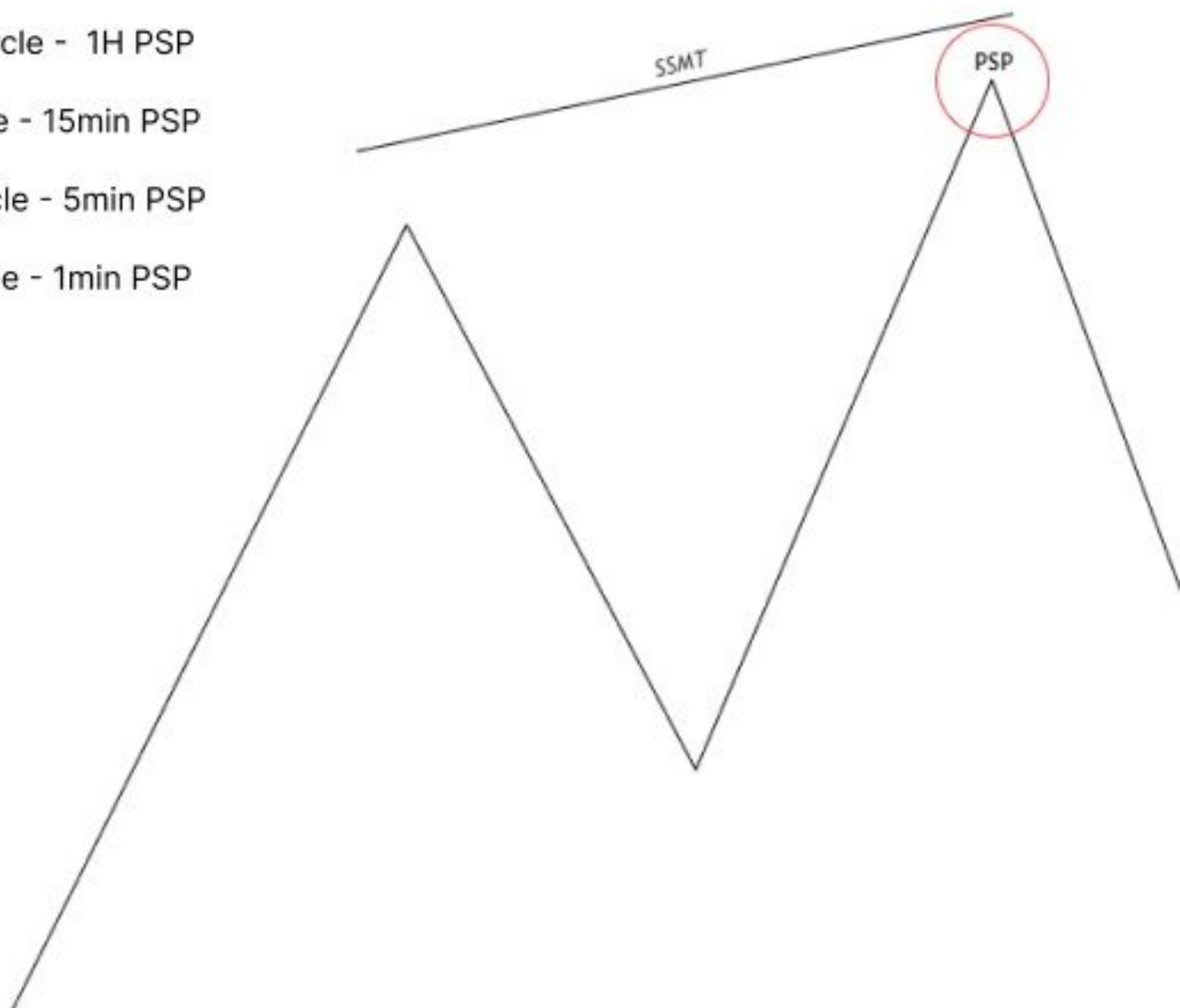
Monthly Cycle - 4H PSP

Weekly Cycle - 1H PSP

Daily Cycle - 15min PSP

90min Cycle - 5min PSP

Micro Cycle - 1min PSP



How can we use PSP's? ^{2/2}

We can also Confirm a PSP with SSMT by using the 3 Candle Sequence again.

A PSP has a lot of Liquidity above and below it, therefore it is ideal for a potential turtle soup and when i say turtle soup i mean SSMT because we know that SSMT reveals true soups.

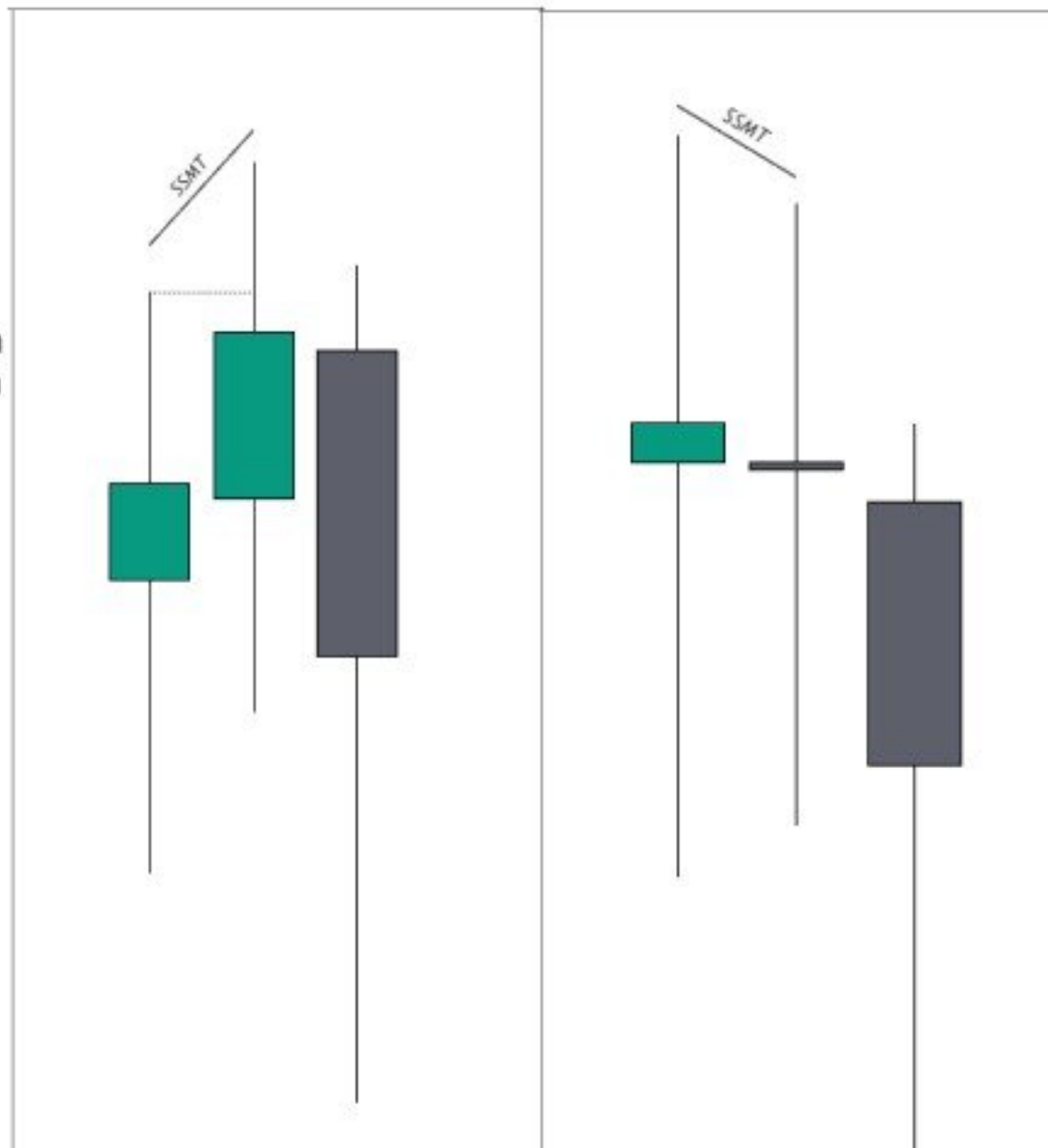
So what we would like to see is SSMT between the Candles of the Swing Formation, for example SSMT between Candle 1 (C1) and Candle 2 (C2) to anticipate a Continuation in Candle 3 (C3) or we could see a SSMT between C2 and C3.

In this example you can see the Daily Chart with a PSP and SSMT between C1 and C2 which caused a expansion in C3.

The fact that we had SSMT between Candle 1 and Candle 2 indicated that we wont see another SSMT from Candle 2 to Candle 3.

This is called a Pre-Defined SMT.

If we dont have that C1 to C2 SSMT we can Expect SSMT between C2 and C3.



Timebased PSP's

There are PSP that form at specific Times that are the Highest Probability because they overlap Quarters.

What do i mean with that?

Within the 3 Candle Sequence we will not always see Quarter overlap between the Candles.

For example if we see a 1H PSP at 8:00 AM we know that the next 1H Candle opens at 9:00 AM what does also begin at 9:00 AM?

Q3 of the NY Session.

So the 8:00 Candle represents Q2 of the NY Cycle and the 9:00 Candle represents Q3 of the NY Cycle so if we now see SMT between 8:00 and 9:00 we will most likely see a 90min SSMT, this is so important because we have a lot of Liquidity above and below PSP's.

So in general if we see PSP's that represent Quarters we get a High Probability Sequence.

Here are some TF PSP's that you can focus on:

4H PSP - 2:00

1H PSP - 8:00

You can also use that for Weekly and Daily PSP's because each day and each week represents a Weekly and Monthly Quarter.



Anticipating SSMT and Strenght

With PSP's you can anticipate SSMT, you can for example expect a Weekly Cycle SSMT if you see a Daily TF PSP if there was no SSMT between C1 and C2.

Also you can expect a Daily Cycle SSMT if we have a 4H 2:00 PSP or a 6H PSP, same works with the 8:00 1H Candle or each 90min Candle or Daily as well as Weekly Candles.

The closure of the PSP's matter because they indicate strength or weakness, if you are Bullish you want to buy that asset that has the strongest up close PSP and not trade the Asset with the down close candle as PSP.

In the example below you can see what I mean with that Liquidity Dispersal Theory.

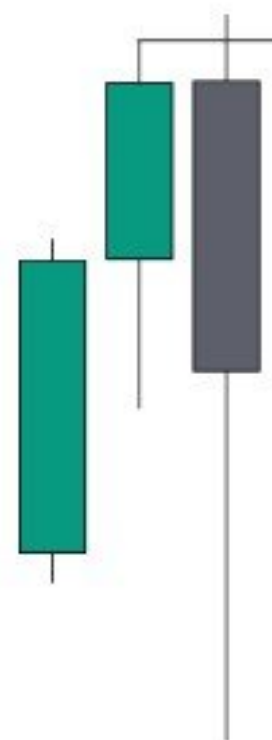
Weakest Asset
Expect Failure Swing



Neutral Asset



Strongest Asset
Expect Turtle Soup



PSP as Continuation. ^{1/2}

We can also use PSP's as a continuation method and can simply pair it with Market maker Models.

You don't need any SSMT if you see a PSP form on a HTF PDA, at the same time a PSP marks a SMR and OGC of a MMXM.

If you want to combine PSP into MMXM you would look for these TF alignments:

Monthly PDA → Weekly PSP → Daily IOF

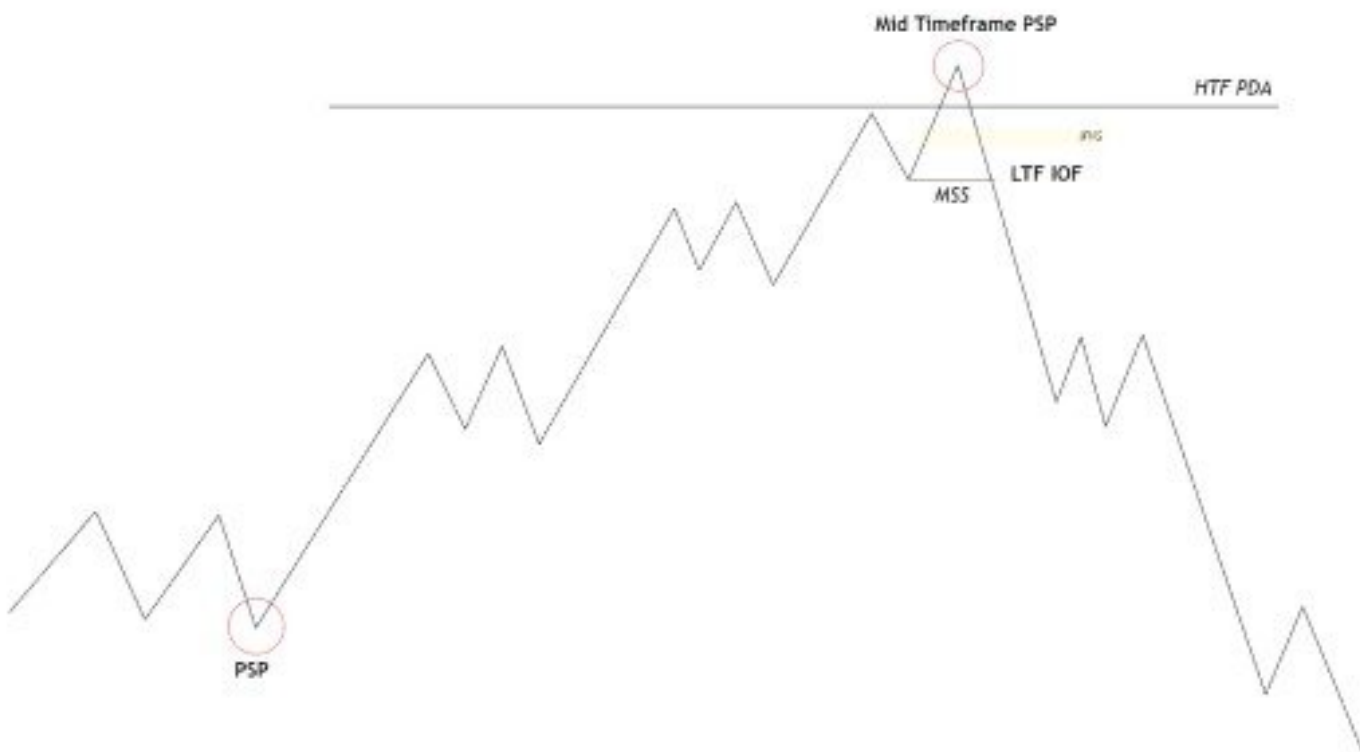
Weekly PDA → Daily PSP → 4H IOF

Daily PDA → 4H PSP → 1H IOF

4H PDA → 1H PSP → 15min IOF

1H PDA → 15min PSP → 5min IOF

This way you would only be focused on Orderflow that tipped its hand inside of the HTF PSP.



PSP as Continuation. ^{2/2}

In general we can say that LTF Dynamics inside of a PSP are very important, you would like to see PDA's that support your trade idea for further confirmation of the PSP.

That's why we can use MMXM logic in continuation conditions without the need of SSMT and ideally you want to see the SMR (Smart Money Reversal) inside of the PSP.

You would always want to short in Premium of Candle 2 and above the open of Candle 3 vice versa for longs

